

China AI Watch

More growth, less reflation

AI is becoming a growth pillar for China, led by exports not investment. Without AI-related tailwinds, GDP growth would fall below 4%. We think the most reflationary phase of China's AI-related infrastructure and power buildout is likely behind us, and examine the implications for FX and rates.

The rapid advances in AI have become one of the most important macro themes globally, yet the debate remains heavily US-centric. Investors are increasingly asking whether China can replicate the US experience, where AI is supporting growth, driving investment, tightening labor markets, and raising concerns about inflation.

We believe China's starting point is fundamentally different. The Chinese economy is facing a deep property downturn, softer labor demand, abundant power capacity, and a manufacturing-led position in the global AI value chain. As a result, AI affects the Chinese economy through different channels than it does in the US. In this report, we quantify AI's impact on growth, employment, and inflation.

Our key conclusion is that AI is already providing a meaningful boost to China's growth outlook. Without AI-related tailwinds, we estimate China's GDP growth would fall below 4% this year. We think the growth dividend comes primarily through exports rather than domestic investment, as China increasingly serves as the manufacturing hub of the global AI boom. The smaller scale of AI investment in China relative to the US does not reflect a lack of enthusiasm. Rather, it is being shaped by factors such as AI monetization, cash flow dynamics, and constraints on access to high-end chips (see [Asia Credit Alpha: Funding the \(AI\) build](#), 8 Oct 2026).

At the same time, our three-sector analysis suggests that AI is not creating enough jobs in China yet. While it is generating employment in data centres and AI-related high-tech manufacturing, the scale remains too small to offset larger job losses elsewhere. The property downturn remains a major drag on construction employment, while manufacturing firms are using AI and automation to reduce labor intensity. Moreover, AI has yet to become a major job creator, even within its ecosystem in the services sector.

Finally, we believe the most inflationary phase of China's AI-related infrastructure and power buildout is likely behind us. Years of investment in energy, grid, and digital infrastructure have left China relatively well positioned to accommodate growing AI-related demand. As AI adoption broadens, the balance of effects may gradually shift from investment-driven demand to productivity-enhancing supply expansion, implying a more disinflationary impact over time.

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China's AI growth boost comes mainly from exports not investment

We believe AI's growth dividend for China comes primarily through exports not investment. We estimate AI could add around 0.8ppt to GDP growth in 2026 and 0.5ppt in 2027. While smaller than the roughly 1ppt boost in the US in 2026, the contribution is still meaningful. Without AI-related investment and export demand, China's growth rate would likely fall below 4%.

- **Investment is the first transmission channel, but its macro impact is relatively modest.** We estimate that China's AI-related investment will likely reach CNY960bn in 2026 and hit CNY1.25tn in 2027 (Figure 1), reflecting rising spending by hyperscalers, telecom operators and data-centre developers. AI is generating new investments spanning data centres, cloud infrastructure, semiconductors, networking equipment and power systems.

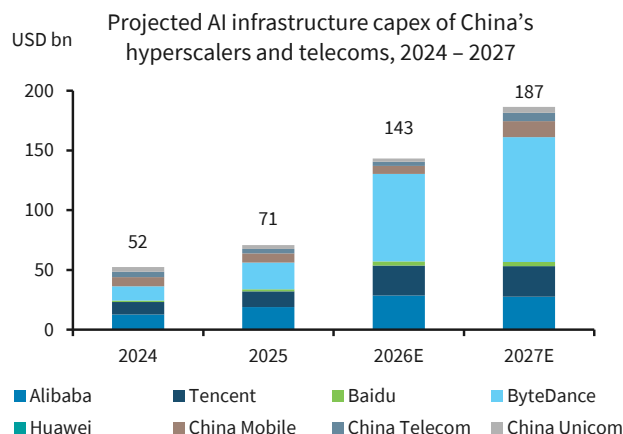
However, the macro impact of AI investment remains modest. We estimate that AI-related investment accounts for less than 2% of China's total investment, making it too small to fully offset the drag from property and slower infrastructure spending (these two combined accounted for 67% of total investment). After adjusting for imported chips and equipment, and land that do not directly add to current real GDP, we estimate AI-related investment could contribute roughly 0.3ppt to annual GDP growth in 2026 followed by 0.2ppt in 2027.

Chinese hyperscalers are not necessarily investing less (than their US counterparts, Figure 2) because they are less enthusiastic about AI. Rather, investment decisions are also being shaped by factors such as AI monetization, cash flow dynamics, and high-end chip constraints. China's AI monetization remains far behind the US. According to the Rhodium Group, all of China's AI models combined generate only about 10% of the revenue reported by OpenAI and Anthropic¹. Moreover, Chinese hyperscalers' cash flow is not keeping pace with capex. Chinese hyperscalers are effectively using profits from their legacy, consumption-linked businesses to subsidize AI investment, but weaker household demand suggests this source of funding is under pressure.

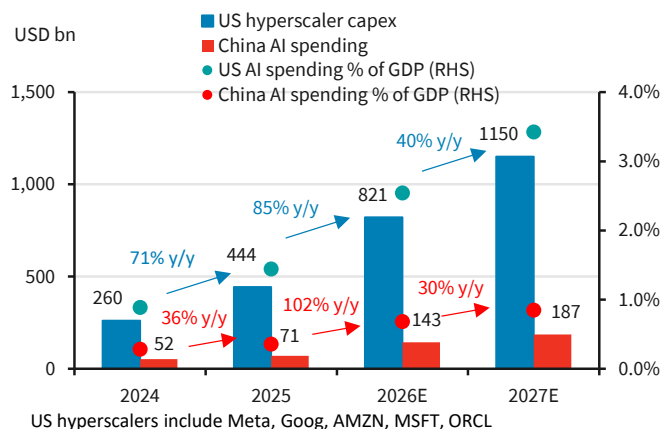
- **Exports are the more important growth channel.** China is emerging as the manufacturing hub of the global AI boom, supplying servers and data-processing equipment, AI-enabled consumer electronics, semiconductors, cooling systems, energy storage system, and other AI-related hardware. In 2026, China's AI-related exports grew 52% y/y YTD, accounting for 23% of total exports (Figure 3 and 4). These products contributed nearly 10pp to overall export growth, accounting for 51% of total export growth, making them the single largest driver of China's export expansion in the first eight months of 2026.

The export boost is more meaningful than the investment boost. As global AI spending accelerates, China's manufacturing scale and supply-chain advantages position it to capture a disproportionate share of the hardware cycle. We estimate AI-related exports could add around 0.5ppt to GDP growth in 2026, moderating to 0.3ppt in 2027 as the AI capex boom among US hyperscalers gradually normalizes. In short, the near-term AI story for China is less about productivity and more about exports and investment, with exports likely contributing the larger share of growth.

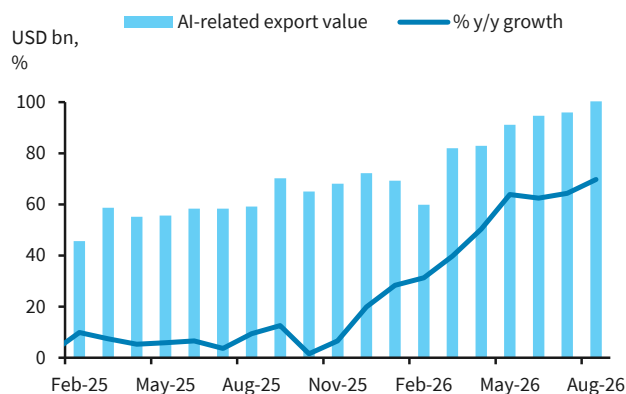
¹ see "Examining China's AI Financing", Rhodium Group, September 2026

FIGURE 1. AI capex in China is expected to see a visible pickup in 2026...

Source: Bloomberg, Barclays Research

FIGURE 2. ...but the scale remains relatively small compared with the US

Source: Bloomberg, Wind, Barclays Research

FIGURE 3. AI-related exports increased sharply...

Source: Wind, Barclays Research

FIGURE 4. ...accounting for ~1/4 of China's total exports now

Source: Wind, Barclays Research

AI is not creating (enough) jobs yet in China: evidence from three-sectors

As discussed in [Global Outlook: Reluctantly optimistic](#), US AI boom has created a meaningful employment impulse in the US because it is layered on top of an already large construction sector with more than 8 million workers. Data centers are driving demand not only for software engineers, but also for electricians, plumbers, pipefitters, steel workers, contractors, telecom engineers, and power infrastructure workers. Despite around 20% contraction in property construction in 2025 vs 2021 in the US, the construction employment actually rose by 10% to 8.3mn in the US market, accounting for 5% of total nonfarm employment.

But China is different. We do not think AI is creating meaningful employment in China yet.

- **Construction.** AI investment does create jobs in data centres, power equipment, servers, and industrial automation, but the scale is too small. Unlike in the US, where the AI buildout is layered on top of a large construction sector, China's data-center expansion is highly industrialized, relying heavily on prefabricated components, factory-built modules, and standardized designs that compress construction timelines and reduce labor requirements. A notable example is Alibaba's "100-Day Datacenter" model, which combines 30 days of factory

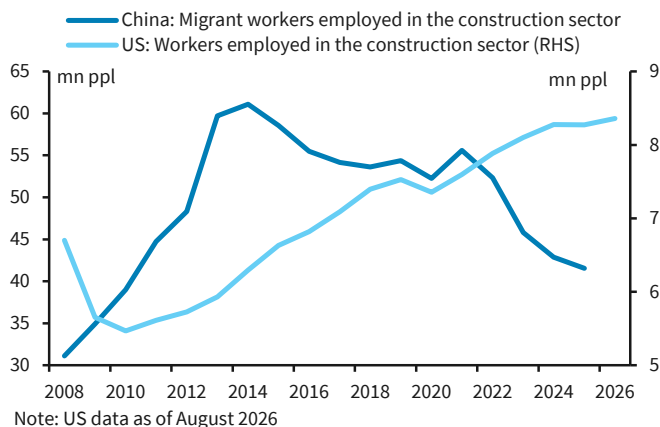
prefabrication and site preparation, 50 days of installation, and 20 days of commissioning, taking just 100 days from a completed shell to server deployment².

More importantly, AI-related construction activity remains too small to offset the much larger employment drag from the property downturn. The prolonged adjustment in the property market has reduced demand for construction workers significantly, especially migrant labor, across real estate development, infrastructure, building materials, furniture, and related supply chains. As a result, the number of construction workers in China was roughly 25% lower in 2025 than at its 2021 peak (Figure 5), following the property bubble burst. In summary, AI-related construction activity can provide a modest offset, but it is nowhere near large enough to replace the labor demand once generated by the property sector.

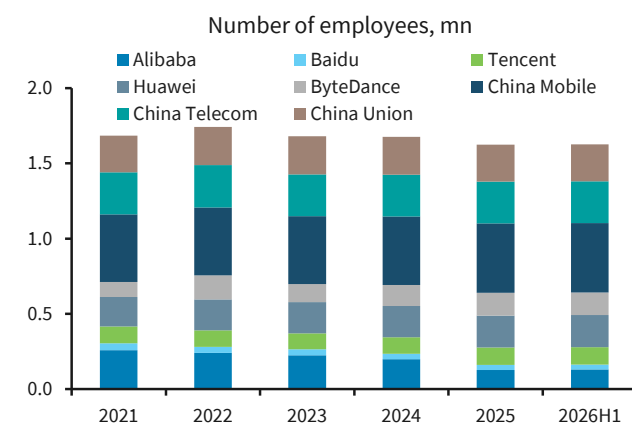
- **Manufacturing.** AI is not likely to become a source of net job creation in manufacturing either. The surge in AI-related exports has been largely a price and value-added story rather than a volume story, and these industries are far more capital-intensive than labor-intensive. Moreover, Chinese firms are adopting AI, robotics, and automation primarily to improve efficiency, and reduce labor intensity. AI enables factories to produce more with fewer workers, particularly in routine assembly, quality control, logistics, and administrative functions. As a result, the number of manufacturing workers in China in 2025 was roughly 30% below its 2013 peak. In other words, AI is boosting productivity and output, but not generating enough new jobs to offset the broader decline in manufacturing employment.
- **Services.** The same is true in services. Most corporate AI adoption is concentrated in customer service, back-office operations, coding assistance, financial processing, marketing, and document review, where the primary goal is to automate routine tasks and reduce headcount, not expand payrolls. While AI is creating some high-skilled jobs in software engineering, data science, model development, and cloud infrastructure, the numbers are too small to offset broader weakness in white-collar hiring. For context, China's entire IT sector, the industry most directly linked to AI, employs only around 8 million workers, less than 1.5% of total employment. The employment base is simply too small to move the needle for the overall labor market.

More importantly, AI has yet to become a major job creator, even within the AI ecosystem itself. The combined workforce of Alibaba, Baidu, ByteDance, Huawei, Tencent, China Mobile, China Telecom, and China Unicom declined by 6.6% in 2026 from its recent peak in 2022 (Figure 6). While some of the decline reflects corporate restructuring, such as Alibaba's asset divestitures, the broader trend underscores a key point: AI is primarily a productivity story, not an employment story.

² see "Alibaba says modular design delivers AI data centres in 100 days at 10% lower cost", SCMP, 11 August 2026

FIGURE 5. Unlike the US, AI-driven construction is far too small to offset property-related job losses

Source: Wind, Barclays Research

FIGURE 6. AI is not proving to be a major job creator even within the AI ecosystem, yet

Source: Company annual reports, Bloomberg, Wind, Barclays Research

China's AI inflationary buildout is behind us; disinflation likely lies ahead

Conceptually, AI follows a two-stage inflation cycle: inflationary when you build it, disinflationary when you use it. The inflationary phase is driven by a massive investment boom in data centers, power generation, grid transmission, semiconductors, and related infrastructure. When demand for capital, energy, and skilled labor rises faster than supply can respond, prices move higher. This dynamic is still evident in the US, where power and grid constraints have become key bottlenecks to AI deployment. China, by contrast, has already spent years building out power, transmission networks, industrial capacity, and digital infrastructure. As a result, the most inflationary part of the AI infrastructure-related buildout is likely behind China.

- **China entered the AI era with abundant power.** Installed generation capacity rose from roughly 2.4TW in 2021 to nearly 3.8TW in 2025, an increase of around 60% (12% CAGR). By contrast, US power capacity expanded from approximately 1.25TW to 1.4TW over the same period, equivalent to just 3% CAGR. As a result, power availability has become a key bottleneck to AI deployment in the US, whereas it is far less of a constraint in China (Figure 7), leaving the country better positioned to absorb rising AI-related electricity demand.

Notably, by 2025, China's installed electricity capacity had already exceeded the combined total of the US, Europe, and India. Despite the prolonged Middle East conflict, electricity prices in China have continued to trend lower (Figure 8), highlighting the country's ample power capacity and limited risk of AI-driven energy bottlenecks.

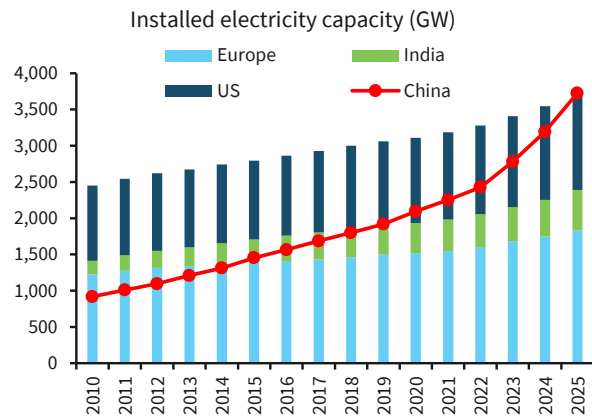
Despite a massive power infrastructure boom in 2021-25, China's inflation never materialized in that period because it was overwhelmed by the property downturn. We estimate that, absent the collapse in property investment, PPI would have averaged around 4% in 2021-25 before moderating to 2% this year. In other words, the inflationary impulse from the earlier AI- and power-driven buildout was real, but it was masked by an even larger deflationary shock from real estate.

- **AI appears to be more of a supply-side story than a jobs story, at least for now.** While AI is creating employment opportunities in areas such as data centres, power infrastructure, software development, and advanced manufacturing, the scale remains relatively modest. In manufacturing, AI, robotics, and automation are helping increase output with less labor

input. In services, AI adoption has so far been concentrated in automating routine white-collar tasks, with limited evidence of broad-based hiring gains.

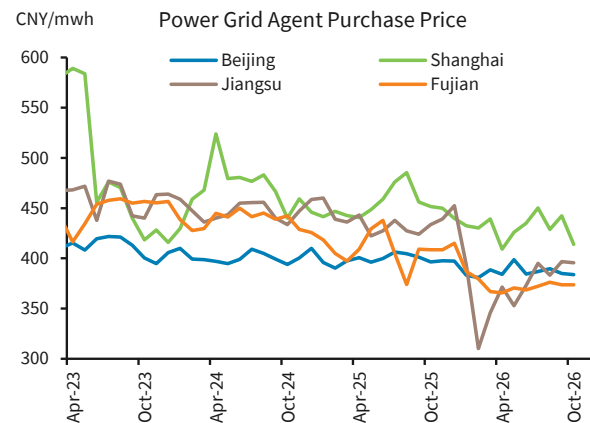
Meanwhile, AI-related construction provides only a modest cushion and is nowhere near large enough to replace the employment once generated by the property sector. While it is still too early to draw definitive conclusions, the anecdotal evidence so far points to AI as a driver of productivity and supply growth rather than meaningful net job creation. As a result, AI's dominant macro effect is likely to be disinflationary, as supply capacity grows faster than employment and aggregate demand.

FIGURE 7. China's installed electricity capacity had already exceeded the combined total of the US, Europe, and India



Source: Ember Electricity Data Explorer, Global Energy Monitor, International Renewable Energy Agency

FIGURE 8. Electricity prices have continued to trend lower, despite the prolonged Middle East conflict



Source: Wind, Barclays Research

Putting AI into potential growth model

In the longer term, the bigger opportunity from AI lies in productivity growth rather than cyclical demand support. Its main contribution comes through higher total factor productivity (TFP), as firms use AI to automate routine tasks, and improve efficiency across manufacturing and services. The IMF estimates that AI could lift global potential growth by as much as 1pp over five years, equivalent to an average annual boost of 0.2pp, with the gains increasing as generative AI adoption becomes more widespread.

However, while AI may slow the decline in potential growth, it is unlikely to fully reverse it. To gauge the impact, we rely on a standard Cobb-Douglas production function framework:

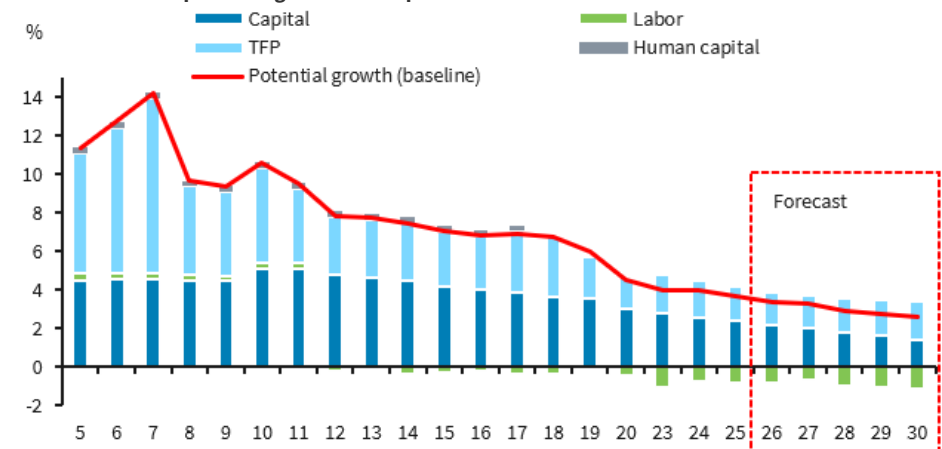
$$Y(t) = A(t) \cdot K(t)^{\alpha} \cdot (L(t)H(t))^{1-\alpha}$$

Where: Y = real GDP, A = total factor productivity (TFP), K = capital stock, L = number of employees, H = human capital, α = elasticity of output to capital, $1-\alpha$ = elasticity of output to labour, and t = years.

With a faster-shrinking and aging population, and diminishing returns to capital accumulation, we expect China's potential growth to continue trending lower despite AI-driven productivity gains. In our baseline scenario, AI, automation and machine learning provide some measured boost to TFP growth, partially offsetting demographic and investment headwinds. Even so, we expect potential growth to slow to approximately 2.5%

by 2030 from 4% in 2021-25 and from above 10% in 2005-07. This trajectory is broadly consistent with forecasts generated by researchers at the ADB³, IMF⁴ and NY Fed⁵.

FIGURE 9. China's potential growth and inputs contribution breakdown



Source: IMF, Wind, Barclays Research

AI productivity gains in practice: Evidence across sectors

In practice, AI is delivering measurable productivity gains across major industries.

- **In financial services**, AI is replacing large volumes of routine work. ICBC's AI digital employees perform work equivalent to more than 55,000 person-years, while China Merchants Bank reported 15.6mn hours of labor substitution in 2025 under its "Human + Agent" model.
- **In healthcare**, AI is helping deliver more services with fewer resources. JD Health's AI family doctor recorded over 30 million consultations within six months, while BGI has significantly reduced genome-analysis time through AI-powered automation and diagnostics.
- **In logistics**, AI is replacing labor-intensive coordination with algorithm-driven decision-making. SF Express uses AI for scheduling and autonomous delivery, Cainiao operates a "logistics brain" for network optimization, and Didi relies on AI to improve real-time dispatch and fleet utilization.
- **In media and entertainment**, AI is accelerating content creation and distribution. Douyin's recommendation engine can generate targeted content suggestions within seconds of app launch, while miHoYo is integrating AI-powered NPCs and production tools across the game-development process.

³ "ADB East Asia Working Paper Series: The Long-Term Growth Prospects of the People's Republic of China," Peschel and Liu, ADB, 2022. These authors forecast China's growth averaging 5.3% in 2020-25, 3.5% in 2026-2030, 2.7% in 2031-35, and 2% in 2036-2040.

⁴ "People's Republic of China: Selected Issues: Sustainable and Balanced Growth in the Longer Term," IMF Asia and Pacific Dept, 10 Feb 2023. In this analysis GDP growth estimates fall to an average of ~4% in 2023-27 and ~3% for 2028-37.

⁵ "China's Growth Outlook: Is High-Income Status in Reach?" Higgins, Federal Reserve Bank of New York, Economic Policy Review 26, no. 4, October 2020. The 'Pretty Good' scenario in this analysis saw growth per capita average 3.8% for 2018-28 and 2.1% in the decade to 2038.

FX and Rates: Stronger external support, limited domestic reflation

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China's AI expansion presents an unusual combination: a positive growth and export shock that is unlikely to generate significant domestic reflation. Unlike in the US, where the AI build-out is supporting a broad investment cycle and adding to demand for capital, power and labour, China's growth dividend comes primarily through exports.

China's large manufacturing base is capturing growing global demand for servers, data-processing equipment, AI-enabled consumer electronics, semiconductors, cooling systems and energy-storage equipment. AI-related investment is also increasing, but remains too small relative to total investment to offset fully the weakness in property and traditional infrastructure.

This distinction is important for both China FX and rates. For the CNY, the rise in AI-related exports strengthens China's trade and current-account position, providing an additional source of underlying support for the currency. For rates, however, stronger AI-related production does not necessarily imply a higher domestic policy-rate path.

The export impulse has yet to translate into broad job creation, wage growth or household demand, while AI adoption in manufacturing and services is primarily improving productivity and reducing labour intensity. The result is stronger real output without a commensurate increase in nominal domestic demand.

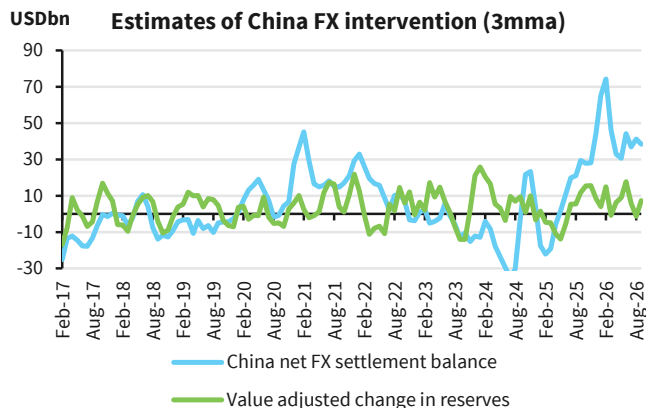
FX: AI adds to the CNY's external anchor

The most direct FX transmission comes through the trade balance. AI-related exports now represent a significant share of China's exports, making China an important manufacturing beneficiary of the global AI capital-expenditure cycle. This should generate additional foreign-currency receipts and reinforce the structural support to the CNY from China's large trade surplus.

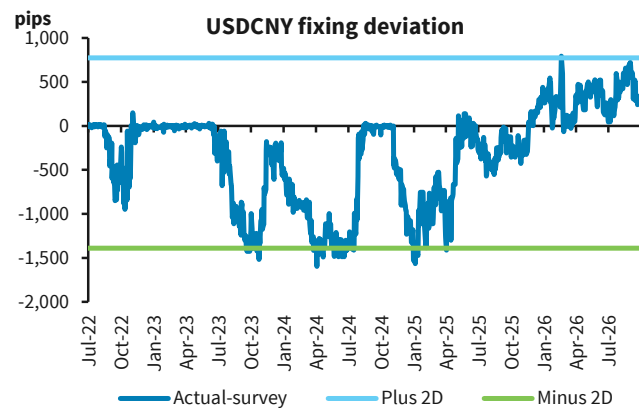
However, the CNY response is unlikely to be proportional to the export boost. The conversion of export receipts into CNY will remain important, particularly as exporters may retain part of their foreign-currency earnings or use them to finance imported equipment and overseas investment. Moreover, the AI export cycle remains closely linked to foreign demand and capital expenditure by overseas hyperscalers. As the global AI capital-expenditure cycle eventually normalises, the boost to China's exports and growth is also likely to moderate.

There is also a policy constraint on appreciation. With domestic demand remaining weak and exports accounting for most of the AI growth dividend, policymakers have an incentive to preserve external competitiveness. A sharp rise in the CNY would tighten financial conditions and weaken the channel through which AI is currently supporting growth. The PBoC is therefore likely to continue managing the pace of appreciation, even if stronger AI exports reinforce appreciation pressure over time.

The net effect is an improvement in the CNY's underlying fundamentals rather than a discrete AI-driven currency rerating. We [continue to expect USDCNY to grind lower](#), but gradually. AI-related export receipts should support the CNY and reduce depreciation risks, while weak domestic demand, China's low-yield environment and the PBoC's preference for an orderly adjustment should limit the pace of appreciation. The benefit may also be more visible in the CNY's trade-weighted performance than in the bilateral rate against a still-firm USD.

FIGURE 10. Exporter conversions have slowed but remain elevated

Source: Bloomberg, Barclays Research

FIGURE 11. PBoC continues to manage the pace of appreciation via USDCNY fixings

Source: Bloomberg, Barclays Research

Rates: AI supports CGBs more than CNY NDIRS

China's AI-driven growth impulse does not materially challenge the low-yield environment. The boost comes mainly through exports and productivity rather than a broad domestic investment or credit cycle. AI-related capital expenditure remains relatively small compared with total fixed investment, while the associated gains have yet to generate meaningful employment, wage or consumption growth. As adoption broadens, productivity-enhancing supply expansion should also reinforce domestic disinflation. Stronger AI-related output should eventually reduce the urgency for additional monetary easing without creating a case for PBoC tightening.

This combination remains supportive of CGBs. Subdued underlying inflation, weak private credit demand and the continued property downturn should sustain duration demand from banks and other domestic institutional investors. AI-related export strength may improve headline growth, but it is unlikely to generate sufficient domestic reflation to drive a sustained rise in government bond yields. Moreover, the relatively modest scale of the domestic AI investment impulse suggests limited additional sovereign financing pressure. We therefore continue to favour CGB duration, although the stronger growth contribution from AI may limit the scope for a large rally driven by renewed expectations of broad-based monetary easing.

The implications are somewhat less bullish for CNY NDIRS. The export and growth boost from AI reduces expectations of further PBoC rate cuts, while targeted financing for technology investment and reduced receiving demand could keep swap rates relatively sticky. NDIRS may also remain more sensitive than CGBs to global rates volatility, paying flows and changes in medium-term policy expectations. Stronger AI-related activity could therefore widen the divergence between a CGB market supported by domestic institutional demand and an NDIRS market pricing less policy easing.

Within NDIRS, the front end should remain anchored by stable PBoC policy rates, ample liquidity and the absence of broad domestic reflation. The 5y sector is more exposed to any improvement in growth, reduced easing expectations and any reassessment of China's medium-term potential growth. This supports a gradual 2y5y steepening bias. The steepening is unlikely to be aggressive, however, given persistent disinflation, weak domestic demand and the limited scale of the AI investment impulse.

Overall, China's AI expansion reinforces our preference for CGBs over CNY NDIRS. It supports headline growth sufficiently to keep NDIRS rates from fully reflecting the weakness in

domestic demand, but does not generate enough inflation or private credit demand to undermine the structural support for government bonds. We therefore continue to favour CGB duration while maintaining a [2y5y CNY NDIRS steepener recommendation](#), with the front end anchored by the PBoC and the 5y sector more exposed to reduced easing expectations and the AI-related growth impulse.

AI sharpens FX differentiation

The key FX divide is between economies integrated into the upstream AI supply chain and those competing with increasingly efficient Chinese downstream exports. In Asia, this should favour TWD and KRW and, to a lesser extent, MYR and SGD. However, the support may be more visible in relative-value Asian crosses than against the USD, given the continued influence of US yields and broad dollar conditions.

Taiwan and Korea are the clearest regional beneficiaries, as stronger demand for advanced semiconductors and memory supports exports, current-account surpluses and underlying appreciation pressure on TWD and KRW. However, the spot response may lag the trade impulse if exporter conversions slow or residents recycle export income into overseas assets. MYR and SGD should also benefit from complementary electronics production, data-centre investment and related services, with the effect transmitted through stronger external balances and investment inflows.

THB and PHP appear to be the clearest relative losers, given their more limited AI-export offsets and weaker external balances, while the INR may lag because its exposure is concentrated in services rather than AI hardware. More broadly, China's productivity gains could compress export margins and divert investment from economies competing in electronics, machinery and other manufactured goods. Cheaper Chinese AI hardware may eventually lower adoption costs and raise productivity in these economies, but those benefits will take longer to support their currencies.

Outside Asia, AI-related FX gains should accrue to economies where stronger exports produce a durable improvement in the balance of payments. [AUD is the clearest commodity beneficiary](#), while CLP and PEN offer more conditional exposure to stronger copper demand. MXN also stands out as an underappreciated manufacturing winner through its exposure to US demand for electrical and power equipment. Across these currencies, sustained outperformance will depend on domestic value added, investment inflows and limited import leakage rather than stronger headline exports alone.

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